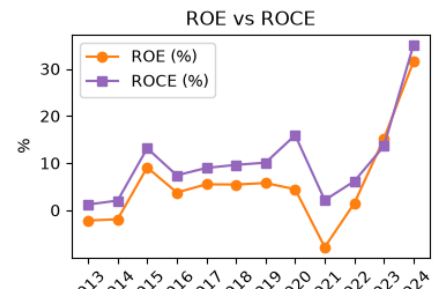
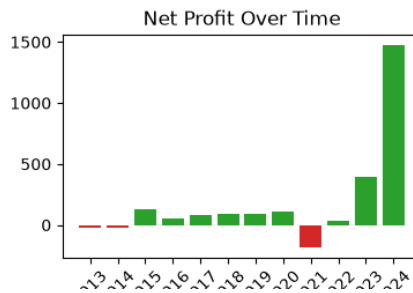
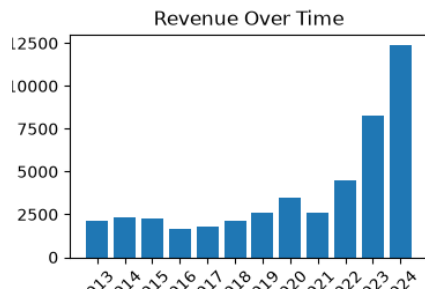
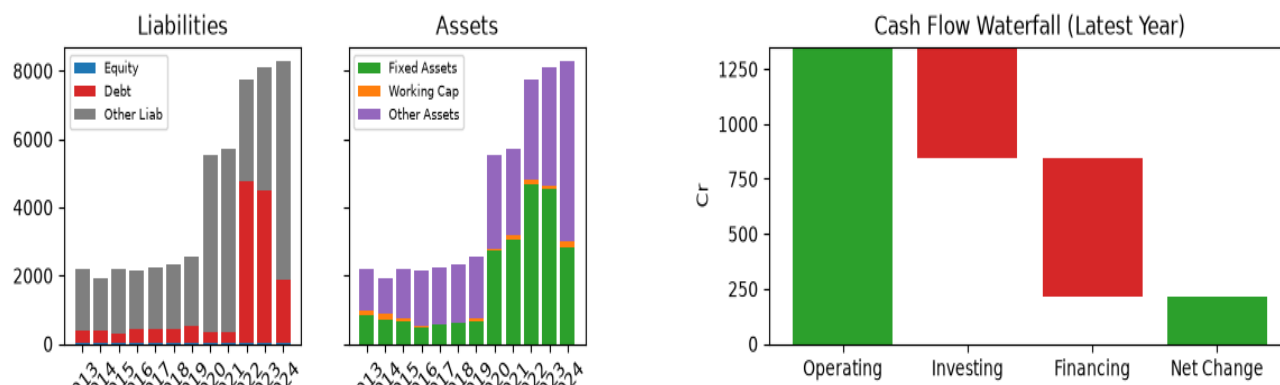


# Trent Ltd (TRENT)

|                         |                           |                        |
|-------------------------|---------------------------|------------------------|
| Revenue<br>Rs. 12375 Cr | Net Profit<br>Rs. 1477 Cr | ROE<br>31.6%           |
| ROCE<br>35.1%           | D/E Ratio<br>0.39         | Asset Turnover<br>1.50 |



# Financial Deep Dive & Insights



## Capital Allocation Pattern: 4: Healthy / Mature

### Strengths (Pros)

- Company has strong Return on Equity of 31.6% ( $\geq 15\%$ ).
- Company has strong Return on Capital Employed of 35.1% ( $\geq 15\%$ ).
- Company generates positive Free Cash Flow of **₹841 Cr.**
- Company has delivered good revenue growth of 36.3% CAGR over last 5 years.
- Company has delivered strong profit growth of 73.1% CAGR over last 5 years.
- Company has strong interest coverage ratio of 6.2x.
- Company operates with a conservative debt-to-equity ratio of 0.39.
- Company efficiently utilises assets with an Asset Turnover ratio of 1.50x.
- Company demonstrates strong cash conversion with FCF Conversion of 0.57x.
- Company is a Nifty 100 constituent, signifying size and liquidity benchmark status.

### Weaknesses (Cons)

- Stock valuation incorporates a premium that may limit near-term upside.